

FORM TP 2021149



TEST CODE **02201020**

MAY/JUNE 2021

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ACCOUNTING

UNIT 2 – Paper 02

2 hours 45 minutes

07 MAY 2021 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper comprises THREE questions. Answer ALL questions.
2. Write your answers in the booklet provided.
3. You may use a silent, non-programmable calculator to answer questions.
4. ALL working must be clearly shown.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2020 Caribbean Examinations Council
All rights reserved.

02201020/MJ/CAPE 2021

MODULE 1
COSTING PRINCIPLES

1. (a) (i) Outline THREE differences between the FIFO and the LIFO inventory valuation methods. **[6 marks]**

Trelawney Inc. uses a periodic inventory system. The company reports the following, for the month of May 2019.

Date	Explanation	Units	Unit Cost	Total Cost
			\$	\$
1 May	Inventory	120	5	600
12 May	Purchase	370	6	2 220
23 May	Purchase	200	7	1 400
30 May	Inventory	230		

Required

- (ii) Compute EACH of the following costs at 30 May 2019 using the FIFO method.
- Ending inventory cost
 - Cost of goods sold **[8 marks]**
- (iii) Compute the gross profit for Trelawney Inc. using the FIFO method if the items sold during May were at a sales price of \$11 per unit. **[4 marks]**
- (b) Compare the impact on the gross profit of an enterprise using the FIFO and LIFO methods, during periods of inflation. **[4 marks]**
- (c) Outline the TWO **main** differences between 'cost allocation' and 'cost apportionment'. **[4 marks]**



- (d) Topps Manufacturing Corporation operates a manufacturing plant with two production departments — blending and packing — and two service departments: a common canteen facility and the warehouse. Information associated with the manufacturing plant is shown in the following table.

Details	Blending	Packing	Canteen	Warehouse
Allocated overhead	\$935 000	\$547 000	\$80 000	\$225 000
Number of employees	145	45	—	10
Number of orders	160	90	—	—

The company allocates the cost of the service departments in the following order:

- Canteen — based on the overall number of employees
- Warehouse — based on the number of orders

Topps Manufacturing Corporation uses the step-down method to allocate service department costs.

Required

Calculate the amount of overhead cost that will be assigned to EACH production department.
[9 marks]

Total 35 marks



MODULE 2

COSTING SYSTEMS

2. (a) Explain EACH of the following costing methods, giving ONE example of a type of business that may use each method.

- Job-order costing
- Process costing

[6 marks]

- (b) Phillips Electrical is an electrical company that engages in the installation and rewiring of commercial buildings. Joan London has recently been hired as the new chief financial officer (CFO) for the company, which uses a job order costing system. Joan understands that the system utilizes normal costs and that overhead is applied based on direct labour costs.

The job order cost sheets for the months of February 2021 and March 2021 are shown below. (All figures rounded to the nearest dollar.)

Job No.	Direct Materials	Direct Labour	Applied OH	Total Cost	Job Completed By End of Month
February					
1578	\$6 500	\$2 000	\$2 500	\$11 000	Yes
1579	\$4 357	\$1 200	\$1 500	\$7 057	Yes
1580	\$11 790	\$5 850	*	*	No
March					
1581	\$450	\$150	\$188	\$788	Yes
1582	\$35 708	\$12 000	*	*	No
1583	\$9 375	\$3 500	\$4 375	\$17 250	Yes

Additional information

- * – At month end, these jobs were not completed.
- Overheads are to be applied and recorded in the month of completion.
- Direct materials and direct labour are recorded as incurred.
- In addition to new jobs started in March, Job No. 1 580 was continued and completed during the month.



Required

Calculate EACH of the following.

- (i) The predetermined overhead rate used by Phillips Electrical [2 marks]
 - (ii) The total cost of the ending work-in-process inventory for both February and March [4 marks]
 - (iii) The total prime cost incurred during the month of March [2 marks]
 - (iv) The cost of goods manufactured for March [3 marks]
- (c) James Landry has recently been appointed the financial controller of a new confectionery company that makes premium chocolates. There are three varieties of chocolates: decadent, smooth and monumental. Chocolates are made in batches of 1 000. The following data was captured for the first year of operation.

	Decadent	Smooth	Monumental
Projected sales	10 000	20 000	15 000
Per unit data			
Selling price	\$30	\$17	\$20
Direct materials	\$9	\$5	\$8
Direct labour	\$12	\$9	\$11
Overhead cost based on <i>direct materials</i> (traditional method)	\$11.25	\$6.25	\$10
Hours per batch of 1 000 units			
Direct labour hours	20	10	25
Machine hours	25	12	25
Set-up hours	1	1	1
Inspection hours	5	4	5

Total overhead costs and activity levels for the year are estimated as follows.

Activity	Overhead Costs	Activity Levels
Direct labour hours		2 500 hours
Machine hours		2 000 hours
Set-ups	\$95 000	100 hours
Inspections	\$80 000	230 hours
	\$175 000	

GO ON TO THE NEXT PAGE



Required

- (i) Calculate the cost per unit of EACH of the following chocolate varieties, using the traditional costing system.
- Decadent
 - Monumental
- [2 marks]**
- (ii) Determine the activity cost driver rate for set-up costs and inspection costs.
- [4 marks]**
- (iii) For the smooth chocolate variety, compute the estimated overhead cost per unit using the activity-based costing system.
- [8 marks]**
- (d) Complete EACH of the following sentences by writing the appropriate clauses, labelled A–E, in your answer booklet.
- (A) releasing some fixed manufacturing overhead cost from inventory
- (B) a period cost under variable costing
- (C) production is equal to sales
- (D) production is less than sales
- (E) production is greater than sales
- (i) Absorption costing income will equal variable costing income if
- (ii) Absorption costing, expenses all of the current period fixed overhead costs, as well as,
- (iii) Absorption costing income will be greater than variable costing income if
- (iv) The total amount of fixed overhead cost is expensed as
- [4 marks]**

Total 35 marks

GO ON TO THE NEXT PAGE



MODULE 3

PLANNING AND DECISION-MAKING

3. (a) (i) Define the term 'standard costing'. [2 marks]
- (ii) Hobbs Ltd is in the process of establishing direct materials standards to use in its revamped budgeting process.

Outline the THREE steps in the process of establishing direct materials standards. [6 marks]

- (b) Discuss the following statement in relation to the use of budgets in an organization.
"A budget assists managers in managing and controlling the activities for which they are responsible." [5 marks]
- (c) Hobbs Ltd has provided the following budgeted production data for the three months ended April 2021.

Month	Production Units
January	80 000
February	75 000
March	82 000
April	84 000

Three kg of materials are required for each unit produced, costing \$12 per kg. Target closing inventory each month should be equal to 25% of the production needs for the next month. Material inventory on 30 April was 66 750 kg.

Required

Prepare a purchases budget for the three months ending April 2021. (Use kg for the unit of the products.) [11 marks]

GO ON TO THE NEXT PAGE



- (d) Hobbs Ltd is considering expanding its production capacity with the purchase of new machines. The machines are expected to cost \$700 000 and will have a useful life of ten years with zero salvage value. The company uses a discount rate of 12% and expect an annual increase in cash flow as follows.

Year	Cash Flow
1	200 000
2	250 000
3	300 000
4	230 000
5	200 000

The present value interest factors at the 12% discount rate are as follows.

Period	PVIF
1	0.893
2	0.797
3	0.712
4	0.636
5	0.567

Required

- (i) Calculate the net present value of the machine purchase. [7 marks]
- (ii) Determine the discounted payback period. [4 marks]

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

